

Downward Breakouts

	Bull Market	Bear Market
Reversal or continuation	Short-term bearish continuation	Short-term bearish continuation
Performance rank	14 out of 36	2 out of 19
Breakeven failure rate	24%	6%
Average drop	16%	26%
Volume trend	Downward	Downward
Pullbacks	66%	64%
Percentage meeting price target	55%	69%

Like other chart patterns without a classic definition of a top or bottom, I decided to give rectangles a definition by separating them based on the price trend approaching the rectangle. If the trend is downward, then the chart pattern is a bottom. If the trend is up, then the chart pattern classifies as a top.

This chapter concerns itself with rectangle bottoms. Bottoms have two breakout directions: up and down (no surprise, right?). The Results Snapshot lists the more important statistics. You'll notice that statistics for upward breakouts in bear markets are missing. That's because I didn't find enough samples to qualify for a solid statistical presentation.

As performers, rectangle bottoms do well, especially in bear markets after downward breakouts. There, they rank second where a rank of 1 is best for performance. And that's out of 19 types of chart patterns.

Failure rates of 6% are also low, ranking third out of 19 (not shown) where a rank of 1 has the lowest failure rate. That bear market failure rate is one-fourth of the 24% failure rate in bull markets (downward breakouts). Of course, that's expected. When price tries to drop in a rising market, you would expect a high failure rate. Bull markets with upward breakouts show a more respectable 15% failure rate (well above 6% but below 24%).

Let's take a tour of this pattern to see what it looks like.